



Executive Summary

Situation

- Major European gas & electricity utility — ~14,600 SME customers
- ~9.7%/quarter churn is eroding revenue in a competitive market

Complication

- Price sensitivity alone doesn't explain churn — margin & tenure matter more
- New (yr 1–3) and electricity-only customers are disproportionately high-risk

Key Question

- Which SME customers will churn next — and how do we retain them cost-effectively?

Recommended Solution

- 20% discount to high-margin, high-risk customers ($\geq 30\%$ churn prob.) pre-renewal
- Cross-sell gas to electricity-only customers — dual-fuel churn is far lower
- Strengthen onboarding for year 1–3 customers, where churn risk peaks